

10-Point Founder Agreement Checklist

Essential legal safeguards before launching or raising capital.



Clear Ownership & Equity Split

Define the exact percentage of shares allocated to each co-founder based on initial contributions, execution expectations, and IP ownership not just equal defaults.



Standard 4-Year Vesting Schedule

Implement a standard 4-year vesting timeline so equity is earned over time through continued work rather than granted 100% upfront on day one.



The 1-Year Cliff (Probationary Period)

Enforce a 12-month cliff period where zero equity vests until month 12. If a founder leaves before 1 year, they walk away with 0% equity.



Comprehensive IP Assignment Clause

Explicitly state that all intellectual property: code, designs, trade names, customer lists, and processes is owned 100% by the corporate entity.



Roles, Expectations & Governance

Outline each founder's specific title, daily responsibilities, decision-making authority, and expected time commitment to avoid operational friction.



Good Leaver vs. Bad Leaver Terms

Distinguish between departures due to illness/mutual agreement (Good Leaver) vs. fraud/misconduct (Bad Leaver), protecting the company's right to repurchase shares.



Reverse Vesting & Buyback Rights

Grant the company the legal right to repurchase unvested shares at a nominal price if a co-founder leaves prematurely.



Vesting Acceleration Rules (Single vs. Double Trigger)

Establish double-trigger acceleration standard so unvested equity only accelerates if the startup is acquired and a founder is terminated without cause.



Tie-Breaking & Deadlock Mechanisms

Set clear rules for resolving major strategic disagreements (e.g., board voting rules or independent advisors) to prevent company-paralyzing 50/50 deadlocks.



Exit Strategy & Drag-Along / Tag-Along Rights

Include drag-along clauses (forcing minority shareholders to join a majority-approved sale) and tag-along rights (protecting minority shareholders during an exit).